What is the Crime? (Business Email Compromise - BEC)

- **Definition:** A sophisticated scam where cybercriminals impersonate trusted leaders, vendors, or business partners to trick employees into transferring funds or revealing sensitive information.
- **Real Incident:** In 2019, Toyota Boshoku Corporation fell victim to a BEC attack, resulting in a loss of approximately **$37 million**.
- **Key Characteristics:**
  - No malware or malicious links (making it hard for security software to detect).
  - Relies entirely on social engineering and psychological manipulation.
  - Often involves "whaling" (targeting senior executives) or "vendor impersonation".
- **The "Why":** It is a low-risk, high-reward method to steal vast amounts of money.

Slide 2: How It Typically Happens (Step-by-Step)

1. **Reconnaissance:** Attackers study a company using public sources (LinkedIn, company websites) to identify key personnel, such as a new employee, a CFO, or a specific vendor.
2. **Infiltration/Spoofing:** Attackers either spoof a legitimate email address (e.g., ceo@company.com becomes ceo@corn pany.com) or hijack a real email account.
3. **Social Engineering & Grooming:** The attacker sends a convincing email claiming to be the CEO, CFO, or a known vendor. They set an urgent tone, often demanding confidentiality and immediate payment for a "secret acquisition" or "overdue invoice".
4. **Transfer/Payment:** The employee, believing the request is legitimate, transfers the funds to a bank account controlled by the criminal.
5. **Concealment:** The money is quickly laundered through "money mules" to prevent recovery.

Who is Usually Targeted?

- **Finance and Accounts Payable Departments:** These employees handle money transfers and are the primary target for fake invoices or wire fraud.
- **Executive Assistants/Personal Assistants:** Targets for impersonation of high-ranking leaders (CEO/CFO).
- **HR Departments:** Targets for "data theft" scams to steal employee W2 forms or personally identifiable information (PII).
- **Companies with International Vendors:** Businesses that regularly make overseas payments are high-risk because payment verification can be difficult.
- **New/Junior Employees:** Individuals who may not know all internal protocols and are afraid to question "superiors".

What are the Consequences?

- **Massive Financial Loss:** BEC is the second most expensive type of breach, with average losses reaching millions. The US alone has seen over $20 billion in exposed losses from 2013-2023.
- **Operational Disruption:** Diverted funds can disrupt supply chains and vendor relationships.
- **Reputational Damage:** Loss of trust from clients, partners, and employees.
- **Legal & Regulatory Liabilities:** Companies may face lawsuits or penalties for failing to protect sensitive financial or personal data (e.g., GDPR, SOX compliance).
- **The "Unrecoverable" Factor:** Unlike stolen credit card data, fraudulent wire transfers are often irreversible once money is moved into international accounts